



Cambridge International Examinations
Cambridge Ordinary Level

Done!

ECONOMICS

2281/12

Paper 1 Multiple Choice

October/November 2017

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

** Solved with Reasons*

** Time : 45 mins*

** 30 MCQs*

[Handwritten signature]

This document consists of **10** printed pages and **2** blank pages.



- 1 Economists refer to factors of production. $\Rightarrow$ Inputs / Land / Labour / Capital / Enterprise

Which is not a factor of production?

- ☒ A the fields of a farm $\rightarrow$ Land
☒ B the machinery in a factory $\rightarrow$ Capital
☒ C the shares of a company
☒ D the staff in an office $\rightarrow$ Labour

choice/opportunity cost

External cost; cost to the third party for which no appropriation compensation is paid

- 2 A government allowed a building company to construct new houses which destroyed an area designated as an area of natural beauty.

Which concepts can be applied to this statement?

- Tax revenue greater than Government Expenditure
☐ A budget surplus; public sector $\rightarrow$ Government sector

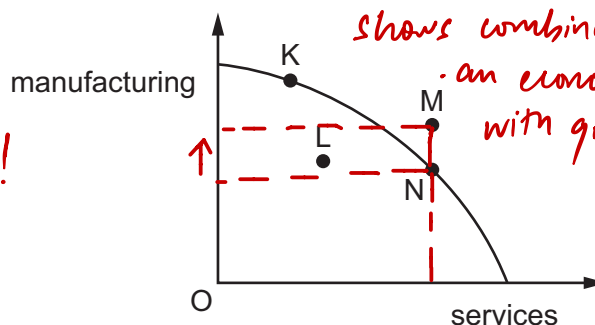
- ☒ B external cost; opportunity cost

- ☒ C government subsidy; mixed economy $\rightarrow$ private and public sector

- ☐ D private enterprise; budget deficit (Government Expenditure greater than Tax revenue)

- 3 The diagram shows a production possibility curve. The country is using all its resources to produce both manufactured goods and services.

option A and B, reduces the output of manufacturing goods!



* Production possibility curve shows combination of output that an economy can produce with given resources!

Increases Potential

What movement would represent an improvement of technology in manufacturing?

- ☒ A K to N

- ☒ B L to K

- ☒ C N to K

- ☒ D N to M

$\hookrightarrow$ potential didn't increase

- 4 What is the government most likely to produce in a mixed economy? $\rightarrow$ private and public sector

- ☒ A all of the services and none of the goods (Resources are shared)

- ☒ B amounts of goods and services equal to those of the private sector (Never equal)

- ☒ C no goods and services (There is existence of public sector)

- ☒ D some of the goods and services

$\downarrow$
as resources are shared e.g. public hospital and private hospital

External cost is the cost which is incurred to the third party for which no appropriate compensation is paid e.g. pollution.

5 Which of the effects of economic development is an external cost?

- A higher employment (Benefit)
- B higher fixed costs (Private cost)
- C increased production (Private)
- ☒ D increased traffic congestion (External cost)

$$\text{Social cost} = \text{Private cost} + \text{External cost}$$

6 The table illustrates the demand and supply for coffee in a market in Africa.

$$PED = \frac{\% \Delta \text{ in } Q_d}{\% \Delta \text{ in price}}$$

$$\% \Delta = \frac{\text{New} - \text{old}}{\text{old}} \times 100$$

$$\% \Delta \text{ in } Q_D = \frac{30 - 40}{40} \times 100$$

$$\% \Delta \text{ in } Q_D = -25\%$$

price per kg (\$)	quantity demanded (kg)	quantity supplied (kg)
10	50	10
20	40	20
30	30	30
40	20	40
50	10	50

$$\% \Delta \text{ in price} = \frac{30 - 20}{20} \times 100$$

$$\% \Delta \text{ in price} = 50\%$$

$$PED = \frac{-25}{50} \Rightarrow -0.5$$

Equilibrium $Q_d = Q_s$

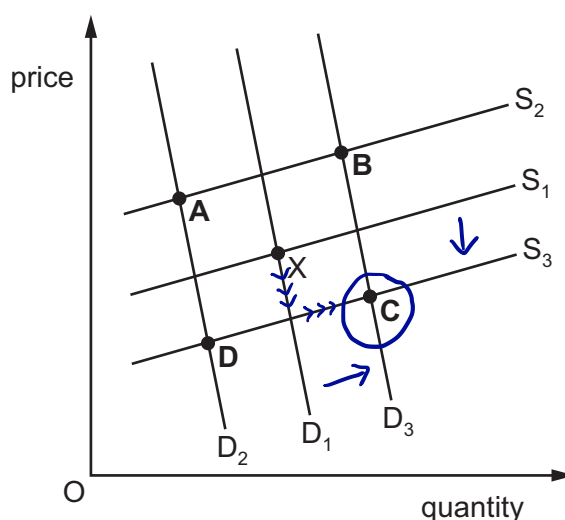
When the price rises from \$20 to \$30 per kg, what is the price elasticity of demand for coffee?

- A 0.2
- ☒ B 0.5
- C 2.0
- D 5.0

7 It was reported that the supply of oil would be affected by the discovery of new oil fields and demand would be affected by rapid global economic growth.

If point X is the initial equilibrium point, which point could represent the new equilibrium?

Equilibrium $D_1 = S_1$



8 What is likely to decrease the level of saving in an economy?

- A an increase in the general level of income *More income, More saving*
- ☒ B an increase in the number of cheap offers in shops *More spending, less saving*
- C a redistribution of income from poor to rich households *more income to rich, more saving*
- D a rise in the rate of interest *r↑, return on saving increases, saving ↑*

9 Which change will make a manufacturing company replace machines with labour to maintain the most efficient combination of factors of production? *Machines ↓ Labour ↑*

- A The price of the product manufactured has increased. *P↑, D↓, Demand for labour ↓*
- ☒ B The productivity of labour has increased. *per labour producing more output, Labour ↑ Demand ↑*
- ☒ C The productivity of machinery has increased. *More demand of capital*
- ☒ D The wages of labour have increased. *wages ↑, cost ↑, Demand for labour ↓*

10 Although there are higher paid jobs in offices many workers stay in low-paid jobs on farms.

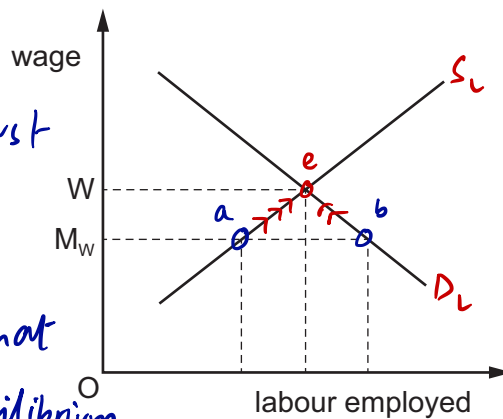
What might explain this in developing economies?

- ☒ A Agricultural workers lack the necessary education and skills.
 - ☒ B Governments plan to increase indirect taxes on services. *(This affects selling price)*
 - ☒ C Manual workers are being replaced by machines. *[This will reduce the demand of workers, nothing linked with statement]*
 - ☒ D Workers on farms have high labour mobility. *↓ flexibility*
- If high mobility, farm workers will be switching to other jobs*

Option A is correct, as they lack education and skills, thus they aren't adaptable and are forced to stay where they are and use of old methods for production is common in developing economies.

- 11 The diagram shows two curves. One is the demand for labour, the other is the supply of labour. A government fixes a minimum wage (M_w) that must be paid by employers.

* Minimum wage is a concept that represents at least that much wage must be provided. To be effective, it will have to be imposed above the equilibrium, so that it can't fall back to the equilibrium.



* To be effective, it will be imposed below the equilibrium, thus it will reach back to the equilibrium.

What will be the effect of this minimum wage?

- A fewer workers will be employed
☒ B no change in the market equilibrium (Demand_L = Supply_L)
 C no worker will be paid wage W
 D supply of labour will exceed demand (If it was imposed above the equilibrium)

- 12 Which is an internal diseconomy of scale?

- ☒ A a lack of communication in a firm cost ↑
☒ B a reduction of cost by buying in bulk purchasing EOS
☒ C a shortage of skilled labour in an area External DEOS
☒ D traffic congestion in a particular area External DEOS

'Diseconomies of scale'
 ↓ Disadvantages large scale
 (average cost rises)



- 13 What distinguishes a multinational company from other types of company?

- A It exports its products.
 B It imports its raw materials.
☒ C It produces outside its country of origin.
 D It promotes its products in trade fairs abroad.

↳ one of the largest organization which operates (produces) in more than one country.

- 14 A major computer company announced that its profits had fallen below the level predicted.

What might have caused this?

- A increased advertising costs that greatly improved sales TR ↑, profits ↑
 B low prices that made the company's product competitive TR ↑, profits ↑
 C new technology that reduced costs profits ↑
☒ D reduced sales and low prices

↓
 Total revenue falls
 ↓
 Low profits

$$TR = \text{Price} \times \text{Qty}$$

6

- 15 The table shows the variable costs of a firm. It can sell the units for \$5 each. Its fixed costs are \$10.

	<u>Total cost</u>	<u>30</u>	<u>40</u>	<u>50</u>	<u>60</u>
quantity produced (units)	10	11	12	13	
variable cost (\$)	20	30	40	50	
	<u>Fixed cost</u>	<u>10</u>	<u>10</u>	<u>10</u>	<u>10</u>

<u>Qty</u>	<u>TR</u>	<u>TC</u>	<u>Profits</u>
10	50	30	20
11	55	40	15
12	60	50	10
13	65	60	5

How many units will the firm produce to maximise profits?

- ☒ A 10 B 11 C 12 D 13

- 16 What, when increased, will help a government to reduce the rate of inflation?

- A budget deficit (Govt Expenditure exceeds tax revenue) $\Rightarrow$ $\uparrow$ AD $\uparrow$ inflation
 B consumer spending $\uparrow$ AD $\uparrow$ Inflation
☒ C income tax $\uparrow$, Disposable income $\downarrow$, $C \downarrow$, AD $\downarrow$, price stability achieved
 D pensions $\uparrow$, consumption $\uparrow$, AD $\uparrow$, inflation

- 17 The government introduces a new tax. It adds \$1 to the price of every \$10 good and \$2 to the price of every \$20 good.

What can be concluded about the nature of this tax?

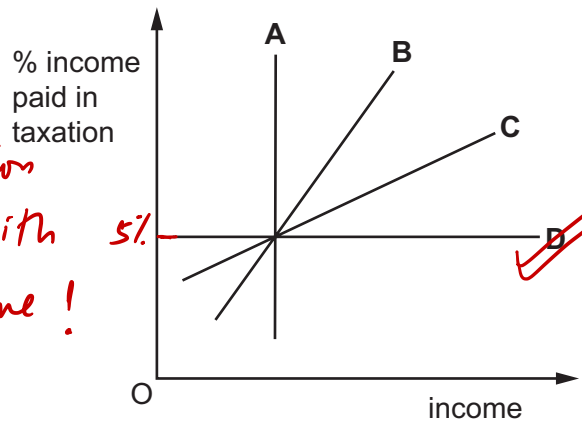
	it is a direct tax	it is a specific tax	it is a progressive tax
☒ A	no	no	no
B	no	no	yes
C	yes	yes	no
D	yes	yes	yes

- * Direct tax, e.g. income tax (No link with statement provided)
- * Specific tax is per unit tax, same throughout the level. Vertical distance between two supply curve is called per unit tax
- * Progressive tax, nature of direct tax, e.g. income tax, impact on Rich

- 18 The graph shows the percentage of income paid in taxation.

Which line represents a proportional tax?

Proportional tax is that percentage income paid in taxation remains unchanged with the changes in income!



- 19 A worker earns \$40 000 a year and pays 20% income tax. (*Disposable income = 32000*)

He spends \$5000 on electrical goods and \$10 000 on a car, and pays 20% sales tax on each.

Indirect tax = \$1000

Indirect tax = \$2000

How much indirect tax does he pay?

Total Indirect tax = \$3000

- ☒ A \$3000 B \$5000 C \$8000 D \$11 000

- 20 Why is the Human Development Index (HDI) often considered to be better than Gross Domestic Product (GDP) per head as a measure of living standards?

A GDP per head excludes economic growth.

** HDI considers*
- Real GDP

B GDP per head ignores population growth.

- Life expectancy (longevity)

☒ C HDI includes more than the production of goods and services.

- Education enrollment (schooling years)

D HDI is calculated by the national government.

** While GDP considers incomes/outputs!*

- 21 A finance minister reported that the economy was experiencing inflation and economic growth.

What would be evidence that both of these had occurred?

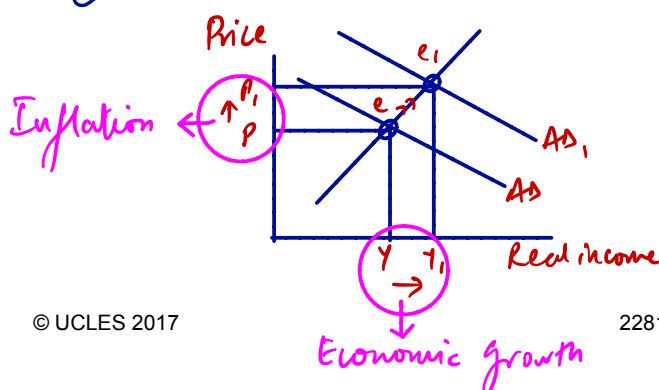
A increased exports and increased output (*output ↑, prices ↓*)

B increased imports and increased income tax (*m ↑, AD ↓*) (*income tax ↑, AD ↓*)

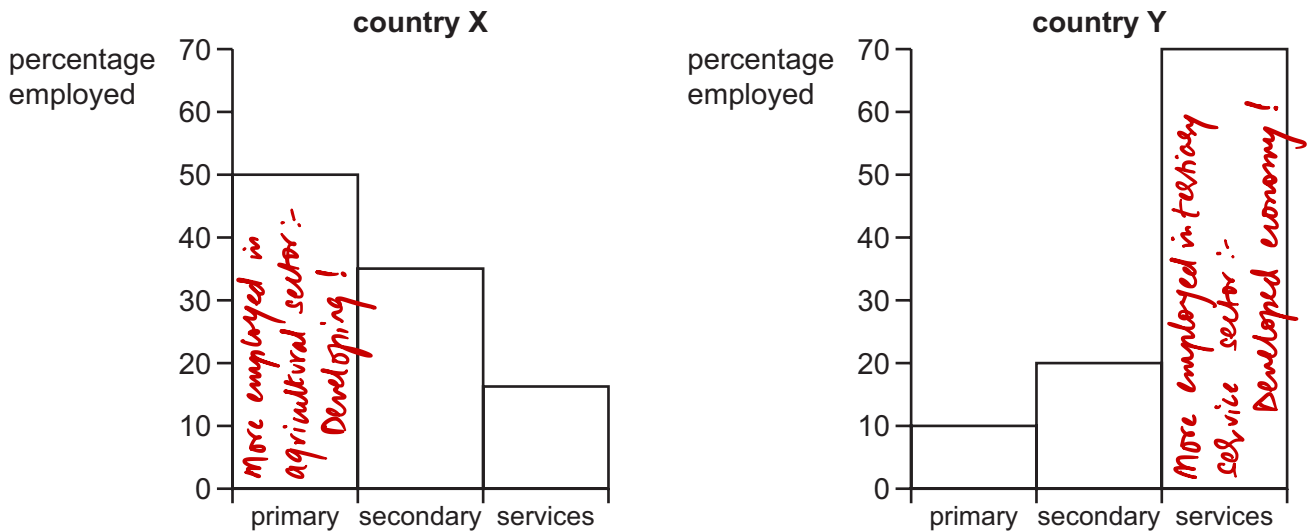
C increased interest rates and increased net migration (*r ↑ save ↑, AD ↓*)

☒ D increased prices and increased employment (*prices ↑ ⇒ inflation*)

(Employment ↑ AD ↑, economic growth)



22 The diagrams show percentage employment in different sectors in two countries.

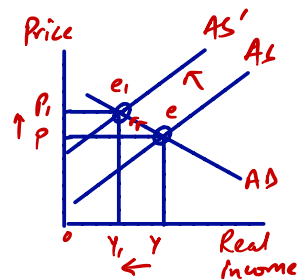


Which statement is correct when comparing country X and country Y?

- Data in percentage*
- A** Country X employs more workers in secondary industry than country Y.
- B** Country X produces more primary output than country Y. *Data in percentage*
- ☒ **C** Country Y is more developed than country X. *Data in percentage*
- D** Country Y produces more secondary output than country X. *Data in percentage*

23 What would be a cause of cost-push inflationary pressure in an industry which supplies mobile (cell) phones?

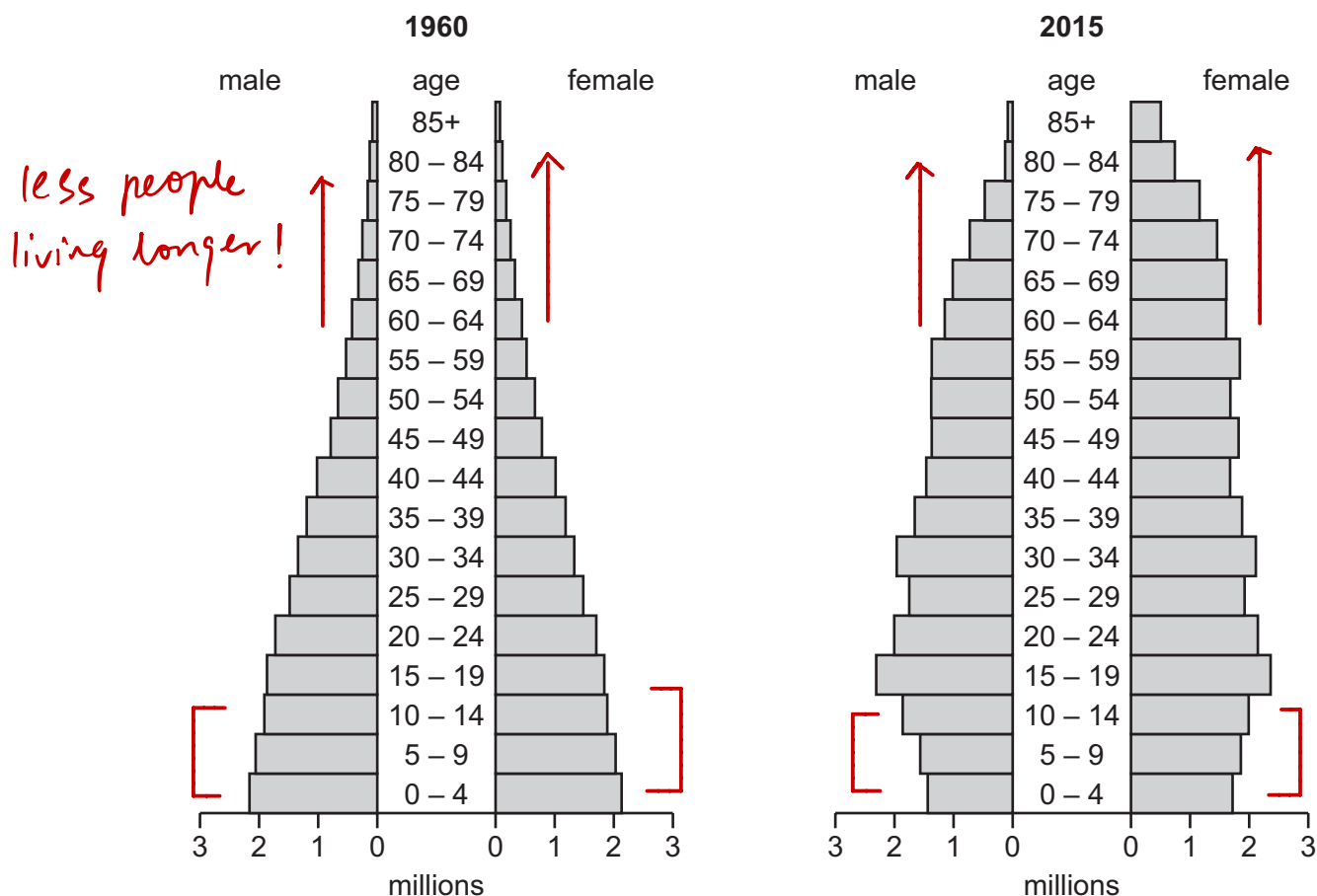
- AS ↓*
- ☒ **A** an increase in advertising expenses for mobile phones *cost ↑ AS ↓*
- B** an increase in export duties on mobile phones *Affects demand*
- C** an increase in income taxes on wages of employees *Affects demand*
- D** an increase in world demand for mobile phones *Affects demand*



24 What is most likely to cause an increase in the population growth of a developing country?

- A** a decrease in immigration *(less people entering in our country)*
- B** a decrease in the birth rate *(less people)*
- ☒ **C** a decrease in the death rate *(more people living) (population ↑)*
- D** a decrease in the standard of living *poor facilities, lower life expectancy*

25 The charts show the population structure of a country in 1960 and 2015.



What **decreased** between 1960 and 2015?

- A average age (increased)
 - ☒ B number of people below 15 (decreased)
 - C number of people over 60 (increased)
 - D total population (increased)
- 26 At the start of the year a developing country had a population of 1 000 000, its birth rate was 16.0 per thousand per annum and its death rate was 8.0 per thousand per annum. At the end of the year the population was 1 005 000.

What could explain this change in the population?

- A The birth rate rose.
- B The death rate fell.
- ☒ C There were 3000 emigrants.
- D There were 5000 immigrants.

$$\begin{array}{r}
 1000000 \text{ to } 1005000 \text{ } +5000 \\
 16 \text{ per } 1000 \text{ i.e. } +16000 \\
 8 \text{ per } 1000 \text{ i.e. } -8000 \\
 \hline
 8000 \\
 1000000 + 8000 \Rightarrow 1008000 \\
 \quad \quad \quad - 3000 \\
 \hline
 1005000
 \end{array}$$

$$\text{Birth rate} = \frac{\text{Number of Births}}{\text{Total population}} \times 1000$$

Factors affecting population :-

- * Birth rate
- * Death rate
- * Migration

- 27 What is a benefit of tariffs? → Tax which is imposed on imported goods
- A increased choice (Imports restricted once tariff used, lack of choice)
 - ☒ B increased government revenue (Tax, Government revenue)
 - C more competition (Lack of competition as consumers will be bound to consume domestic goods)
 - D more trade (Protectionism tool used, less trade)
- 28 Which name is given to the external value of a currency in terms of another currency?
- A the balance of trade (Difference between Export revenue and Import Expenditure)
 - ☒ B the exchange rate (Rate at which one currency is exchanged in terms of another currency)
 - C the relative inflation rate (changes in price level)
 - D the supply of money (concept linked with Central Bank)
- 29 It was reported in 2011 that the United States (US) needed to achieve a lower current account deficit.

What would help this in the short run?

- ☒ A a protectionist policy [Tariff etc] ⇒ Reducing import Expenditure
 - B a strong exchange rate (Appreciation, makes import cheaper, deficit)
 - C increased private sector spending (Domestic incomes ↑)
 - D investment in the US by multinational firms (Domestic incomes ↑)
- [1 UK £ : other currency]
- 30 The table shows the number of units of foreign currency that the UK pound (UK£) could buy in August 2012 and August 2013.

	currency	rate per UK£ August 2012	rate per UK£ August 2013
Depreciated ←	Argentine peso	7.16	8.35
Depreciated ←	South African rand	12.86	14.97
Appreciated ←	euro	1.27	1.14

What can be concluded from the table about the change in currency values between 2012 and 2013?

- A The Argentine peso depreciated against the UK pound.
 - ☒ B The Argentine peso depreciated against the euro. Euro: Appreciated
 - C The euro depreciated against the UK pound. Argentine: Depreciated
 - D The South African rand appreciated against the euro.
- Euro: Appreciated
South African: Depreciated

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